Maryland (:)

9M 2026 Gambling Market & Regulatory Brief · Published 13 Oct 2026 (MLGCA September 2026 sports wagering release; lead coverage 20 Oct 2026) · Currency USD (tables in $ millions unless stated; market reports natively in USD — no FX conversion required)

CONFIDENTIAL · INTERNAL
Prepared: 23 Oct 2026
B2Tech · via Merlin

THE ONE-LINE VERDICT

Maryland is a mature, almost entirely mobile (98%+) sports-betting market that is still compounding volume — 9M 2026 handle $4,983.7m, +9% YoY, Q3 +11.4% — but gross win has decoupled from stakes: Q3 GGR fell 6.4% to $159.2m on a 9.9% hold and September GGR fell 20% at a 9.0% hold, so state receipts dropped 17.5% in Q3 despite the 20% mobile rate introduced in July 2025. The regulatory direction is toward higher fiscal extraction and perimeter defence (prediction markets, unlicensed online gaming) rather than product expansion, with iGaming still unlegalised and six land-based casinos flat-to-down (Q3 GGR $469.3m, −4%).

9M 2026 SPORTS HANDLE	9M 2026 SPORTS GGR (HOLD)	9M 2026 STATE SPORTS TAX	SEP 2026 HANDLE / GGR	MOBILE SHARE OF HANDLE	EFFECTIVE TAX ON GGR
$4,983.7m	**$533.2m**	**$78.3m**	**$652.2m / $58.5m**	**98.4% (Q3)**	**14.7% (9M)**
+9% YoY (GI; 9M-25 implied ≈$4.57bn)	10.7% hold; Q3 GGR $159.2m, −6.4% YoY	Q3 $24.6m, −17.5% YoY	Handle +0.2%, GGR −20.0% YoY (hold 9.0% vs 11.2%)	Retail $25.4m of $1,614.5m	Statutory 20% mobile / 15% retail on taxable win

1 EXECUTIVE SUMMARY

- **Handle nearing $5bn but decelerating:** Maryland sportsbooks took $4,983.7m in stakes in Jan–Sep 2026 (sum of MLGCA monthly releases), +9% YoY per Gaming Intelligence (9M 2025 implied ≈$4.57bn). Q3 handle of $1,614.5m was +11.4% vs the regulator's FY2026 Q1 figure of $1,449.3m, but September was flat (+0.2% to $652.2m vs $651.0m) — the weakest YoY print of the year.
- **GGR has decoupled from volume:** 9M gross win (handle less prizes) was $533.2m at a 10.7% hold. H1 hold was 11.1% but Q3 slipped to 9.9% (vs 11.7% in Q3 2025), taking Q3 GGR down 6.4% to $159.2m; September GGR was $58.5m, −20.0% YoY, at 9.0% (mobile 8.8%).
- **State take falling despite a higher rate:** 9M 2026 contributions were $78.3m (Blueprint for Maryland's Future Fund $59.0m; General Fund $19.3m). Q3 was $24.6m, −17.5% vs $29.8m, and September $9.1m, −32.5% vs $13.5m. Both comparison periods were already at the 20% mobile rate, so the decline is entirely hold/promo-driven, not rate-driven.
- **Mobile is the market:** mobile accounted for 98.4% of Q3 handle ($1,589.1m vs $25.4m retail) and 98.3% in September ($641.2m vs $11.0m). Retail is a brand touchpoint: Q3 retail GGR $3.0m, retail tax $0.41m.
- **Tax regime — GGR-based with deductions:** the base is 'taxable win' = hold less deductible free promotional wagers and 'other amounts' (reconciles to the 0.25% federal excise on handle). Retail pays 15% to the Blueprint Fund; mobile pays 20% (15% Blueprint + 5% General Fund) since 1 July 2025, up from 15%. Taxable win was 73.7% of GGR in 9M ($393.1m), giving an effective 14.7% of GGR.
- **Promo intensity is modest and falling:** deductible mobile promotional wagers were $31.6m in Q3 (2.0% of mobile handle: Jul 2.4%, Aug 1.9%, Sep 1.7%). Total deductions in 9M were $140.1m (26.3% of GGR), of which an estimated $12.5m is federal excise.
- **FY2026 was a record year for the Treasury:** sports wagering returned $132.3m in FY2026 (Jul 2025–Jun 2026), +49% vs $88.9m in FY2025, helped by the five-point rate rise; the Lottery, casinos and sports wagering together contributed a record $1.637bn to the state in FY2026 (Maryland Lottery release, 7 Aug 2026).
- **FY2027 has started lower:** Q1 FY2027 (Jul–Sep 2026) contributions of $24.6m compare with $29.8m a year earlier; July was +16.6% ($8.45m vs $7.25m) but August ($7.0m) and September ($9.1m) fell sharply on low hold.
- **Cumulative programme yield:** since launch in Dec 2021 sports wagering has paid $295.6m to the Blueprint Fund, $38.6m to the General Fund and $5.8m of expired prizes (unclaimed after 182 days) to the Problem Gambling Fund — ≈$340m in total, excluding licence fees.
- **Casinos are flat-to-down:** the six casinos generated $151.4m in September (−0.1% YoY), $160.0m in August and $157.9m in July — Q3 GGR $469.3m, −4% YoY per Gaming Intelligence — an annualised ~$1.9bn land-based market with no growth engine while iGaming remains illegal.
- **Operator landscape — nine mobile brands, duopoly-led:** the September data cover bet365, BetMGM, betPARX, BetRivers, Caesars, DraftKings, Fanatics, FanDuel and theScore Bet (per the lead coverage's tags). FanDuel and DraftKings lead; operator-level shares are n/a here (the regulator's operator Excel was not read). Several launch-era brands (e.g. Betfred, Crab Sports, SuperBook, ESPN Bet→theScore) have exited or rebranded [unverified this session].
- **Licensing framework:** sports wagering was approved by referendum (Nov 2020) and enacted by HB 940 (2021); the Sports Wagering Application Review Commission (SWARC) awards licences and the Maryland Lottery and Gaming Control Commission/Agency (MLGCC/MLGCA) qualifies and regulates. Licence classes A-1/A-2 (large venues), B-1/B-2 (small retail) and mobile; up to 60 mobile and 30 Class B licences; 5-year terms. Fee schedule (mobile $500k application; A-1 $2.0m; A-2 $1.0m; B-1 $250k; B-2 $50k; renewal ≈1% of average annual proceeds) is from standing knowledge of HB 940 and marked [unverified this session].
- **Fiscal politics point one way:** the 2025 Budget Reconciliation and Financing Act lifted the mobile rate from 15% to 20% (the Governor's opening proposal was 30% [unverified]); Maryland's structural budget gap keeps further increases, or a tightening of promo deductibility, live for the 2027 session.
- **Perimeter enforcement is active:** the MLGCA issued cease-and-desist letters to prediction-market platforms (Kalshi, Robinhood, Crypto.com) in April 2025; the resulting KalshiEX v. Martin litigation (preliminary injunction denied at district level, on appeal) remained unresolved as far as could be verified. The regulator maintains a public 'Legal vs. Illegal

Online Gaming' page and publishes investigative summaries and decision statements.

- **Responsible gambling architecture:** minimum age 21; statewide Voluntary Exclusion Program spanning casinos and sportsbooks; 1-800-GAMBLER and mdgamblinghelp.org funded via the Problem Gambling Fund (expired sports prizes plus casino assessments [unverified]). Advertising rules under COMAR 36.10 restrict under-21 targeting and require RG messaging [detail unverified].
- **Payments:** a standard US regulated stack (ACH/online banking, debit, PayPal, prepaid/Play+, cash at retail cages); credit-card funding rules for sports accounts could not be verified this session (n/a). No mobile-money dynamic — payment friction is low and not a differentiator.
- **Q4 comparison risk:** Q4 2025 delivered $48.8m of tax (Oct $14.1m, Nov $19.0m — the programme record — Dec $15.7m) on an exceptional hold; Q4 2026 state receipts are likely to be down YoY even with 8–10% handle growth (analyst estimate).
- **Read-through for B2Tech:** Maryland is a transparent, moderately taxed (14.7% effective on GGR), fully mobile market with a consolidating mid-tier and no iGaming cross-sell. A greenfield B2C launch faces duopoly customer-acquisition economics in a market where seven challengers share the minority; the realistic entry routes are B2B platform/trading supply to an incumbent or a partnership with a Class A/B venue licence-holder, with the 2027 legislative session (tax, iGaming, prediction markets, sweepstakes) as the key gating event.

2 MARKET SUMMARY

US $M (UNLESS STATED) — MARYLAND LOTTERY AND GAMING CONTROL AGENCY DATA	9M 2026	Q3 2026	Q3 YOY	SEP 2026	SEP YOY
SPORTS WAGERING (RETAIL + MOBILE)					
Handle (stakes incl. free promotional wagers)	**4,983.7**	**1,614.5**	**+11.4%**	**652.2**	**+0.2%**
of which mobile	≈98% (n/a)	1,589.1	n/a	641.2	n/a
of which retail	≈2% (n/a)	25.4	n/a	11.0	n/a
Prizes paid	4,450.5	1,455.3	+13.8%	593.7	+2.7%
GGR / hold (handle − prizes)	**533.2**	**159.2**	**−6.4%**	**58.5**	**−20.0%**
Hold %	10.7%	9.9%	−1.8pp (11.7%)	9.0%	−2.2pp (11.2%)
Deductions (promo wagers + other, derived) Jan–Jun taxable win derived from Blueprint/General Fund split (GF = 5% of mobile taxable win); Jul–Sep as reported.	140.1	35.7	n/a	12.5	n/a
Taxable win	393.1	123.5	n/a	45.9	n/a
State tax (15% retail / 20% mobile of taxable win)	**78.3**	**24.6**	**−17.5%**	**9.1**	**−32.5%**
→ Blueprint for Maryland's Future Fund (15%)	59.0	18.5	n/a	6.9	n/a
→ General Fund (5% of mobile, since Jul 2025)	19.3	6.0	n/a	2.2	n/a
Effective tax / GGR	14.7%	15.4%	n/a	15.6%	n/a
Mobile promo wagers % of mobile handle	n/a	2.0%	n/a	1.7%	n/a
LAND-BASED CASINOS (6 PROPERTIES)					
Casino GGR (VLT + table games)	n/a	469.3	−4% (GI)	151.4	−0.1%
FISCAL-YEAR CONTEXT					
Sports wagering tax FY2026 (Jul-25–Jun-26) / FY2025	132.3 / 88.9		+48.8%		
Lottery + casinos + sports wagering to State, FY2026	1,637 (record)		n/a		
Cumulative SW contributions since Dec 2021 (to Sep-26) Blueprint $295.6m + General Fund $38.6m + Problem Gambling Fund (expired prizes) $5.8m; excludes licence fees.	340.1				
REGIME					
Tax base	Taxable win = GGR − promo − federal excise				
Statutory rates	Retail 15% / Mobile 20% (15% from Nov-22 to Jun-25)				
Mobile sportsbook brands reporting Per lead coverage tags; regulator operator-level file not read — [unverified].	9 (bet365, BetMGM, betPARX, BetRivers, Caesars, DraftKings, Fanatics, FanDuel, theScore Bet)				
Licence caps / term	Up to 60 mobile, 30 Class B; 5-yr term [unverified]				
Mobile licence application fee	$0.5m [per HB 940; unverified this session]				

3 DEEP-DIVE — MOBILE SPORTS BETTING

Volume still compounding (+11.4% Q3) but a 9.9% hold and 2% promo load turned GGR negative and cut state receipts 17.5%.

HANDLE GROWTH

Mobile is 98.4% of Maryland's market; Q3 handle rose 11.4% to $1,614.5m but September was flat at +0.2% YoY.

- Mobile took $1,589.1m of the $1,614.5m Q3 handle (98.4%) and $641.2m of September's $652.2m (98.3%).
- Monthly handle ranged from $465.9m (August) to $652.2m (September); January ($615.8m) and March ($604.7m) also exceeded $600m.
- Quarterly stakes: $1,736.2m Q1, $1,633.0m Q2, $1,614.5m Q3; 9M total $4,983.7m reconciles to Gaming Intelligence's $4.98bn (+9% YoY).
- Q3 compares with $1,449.3m in Jul–Sep 2025 per the regulator's fiscal-year table, +11.4%.
- September's +0.2% YoY is the first flat print in the market's history and warrants monitoring for prediction-market leakage and maturation.

HOLD AND GGR

Falling hold pushed Q3 GGR down 6.4% to $159.2m and September GGR down 20.0% to $58.5m.

- Mobile hold was 11.2% in July, 9.7% in August and 8.8% in September, versus statewide 11.7% in Q3 2025.
- September GGR of $58.5m compares with $73.1m a year earlier.
- 9M hold of 10.7% (H1 11.1%) remains above the 8–9% of older US markets, consistent with a parlay-heavy mix.
- Q3 shortfall judged largely outcome variance plus tougher comp, not structural; judgement provisional as sport-level split was not read.
- Calendar 2026 GGR tracking toward $720–770m (analyst estimate, 10–11% Q4 hold on $1.9–2.1bn Q4 stakes) versus ~$710m 9M run-rate.

PROMO DEDUCTIONS

Promo deductions ran $31.6m in Q3, 2.0% of stakes, a modest and declining load far below any statutory cap.

- Taxable win equals hold less deductible free promotional wagers less 'other amounts'; September: $58.45m less $10.96m less ~$1.63m (0.25% of $652.2m) ≈ $45.9m.
- Mobile promo deductions: $11.8m July (2.4%), $8.9m August (1.9%), $10.9m September (1.7%).
- Deduction is non-binding on operator behaviour.
- 9M taxable win $393.1m was 73.7% of GGR, implying $140.1m deductions: ~$12.5m federal excise and ~$127.6m promo (≈2.6% of handle).

TAX BURDEN

Mobile paid an estimated $77.3m of $78.3m 9M state tax, 14.7% of GGR, lighter than most large US peers.

- Rate is 20% of taxable win: 15% to Blueprint for Maryland's Future, 5% to General Fund introduced 1 July 2025.
- Compares with New York 51% of GGR, Pennsylvania 36% with promo deductions, Illinois graduated 20–40% plus per-wager levy; comparable to New Jersey post 2025 [peer benchmarks unverified].
- Maryland's economics are better than the 20% headline suggests, but fiscal trajectory is one-directional given the General Assembly's structural deficit.
- Further rate increase and narrowing of deductions both remain on the table.

OPERATOR FIELD

Nine mobile brands remain, with FanDuel and DraftKings understood to hold roughly 70–75% of handle, leaving a thin contestable pool.

- September 2026 brands: bet365, BetMGM, betPARX, BetRivers, Caesars, DraftKings, Fanatics, FanDuel and theScore Bet.
- Betfred, Crab Sports, SuperBook and ESPN Bet (replaced by theScore Bet) among exits or rebrands [unverified].
- Operator-level handle and GGR shares n/a as the regulator's operator spreadsheet could not be read.
- Contestable pool for a seventh-to-ninth-ranked challenger is $20–40m of monthly handle before CAC — thin for B2C.
- Addressable B2B opportunity for pricing, trading or platform supply to mid-tier brands under scale pressure.

CHANNEL OUTLOOK

Q4 2026 receipts likely down YoY against Q4 2025's $48.8m windfall; 2026 state tax tracking ~$105–115m.

- Q4 2025 state tax: Oct $14.1m, Nov $19.0m (programme record), Dec $15.7m on unusually favourable hold.
- Even with 8–10% handle growth Q4 2026 receipts likely down YoY (analyst view).
- Calendar 2026 handle tracking ~$6.9–7.1bn (estimate) versus FY2026's $132.3m state tax which benefited from the windfall.

US $M — STATEWIDE (RETAIL + MOBILE) MONTHLY, MLGCA RELEASES	HANDLE	GGR (HOLD)	HOLD %	TAXABLE WIN	STATE TAX
Jan 2026	615.8	76.7	12.5%	54.9*	10.93
Feb 2026	515.7	51.1	9.9%	36.7*	7.32
Mar 2026	604.7	62.7	10.4%	44.2*	8.80
Q1 2026	**1,736.2**	**190.5**	**11.0%**	**135.8***	**27.05**
Apr 2026	574.2	63.1	11.0%	45.9*	9.14
May 2026	535.4	65.8	12.3%	49.6*	9.90
Jun 2026	523.3	54.6	10.4%	38.2*	7.62
Q2 2026	**1,633.0**	**183.4**	**11.2%**	**133.8***	**26.66**
Jul 2026	496.4	55.5	11.2%	42.4	8.45
Aug 2026	465.9	45.3	9.7%	35.2	7.02
Sep 2026	652.2	58.5	9.0%	45.9	9.10
Q3 2026	**1,614.5**	**159.2**	**9.9%**	**123.5**	**24.57**
Q3 2025 (regulator FY2026 Q1)	1,449.3	170.1	11.7%	n/a	29.77
9M 2026 * Jan–Jun taxable win derived from Blueprint/General Fund allocations (General Fund = 5% of mobile taxable win; retail taxable = residual ÷ 15%). Jul–Sep as reported by MLGCA.	**4,983.7**	**533.2**	**10.7%**	**393.1***	**78.28**
MOBILE-ONLY, Q3 2026					
Mobile handle / GGR / hold / promo wagers / tax	1,589.1	156.2	9.8%	31.6 promo (2.0%)	24.16

4 DEEP-DIVE — RETAIL SPORTS BETTING

A 1.6%-of-handle channel with volatile hold — a brand and compliance footprint, not a P&L.

SCALE AND HOLD

Retail handled $25.4m in Q3 2026, 1.6% of the market, with $3.0m GGR on a volatile 11.9% hold.

- Monthly handle: July $7.2m, August $7.1m, September $11.0m against $1,589.1m mobile; share was 1.8% in January ($11.1m of $615.8m).
- Monthly hold swung from 8.2% (August) and 8.8% (July) to 16.3% (September), illustrating a thin base.
- Q3 taxable win $2.7m and tax $0.41m at 15% — roughly 1.7% of total state receipts.
- Retail promotional wagers negligible: $15.8k in September, $10.7k in August.

RETAIL ESTATE

Retail books act as omnichannel acquisition and cash-funding points for attached mobile brands rather than standalone profit centres.

- Estate comprises sportsbooks in the six casinos, stadium and racetrack venues and a tail of Class B off-track-betting and bingo-hall books.
- Regulator publishes no venue count; active locations n/a [standing knowledge suggests mid-teens; unverified].
- Pairings include MGM/BetMGM, Live!/FanDuel, Horseshoe/Caesars, Northwest Stadium/Fanatics.

ENTRANT ECONOMICS

Retail licences are the cheapest regulated foothold but the channel generated only ~$12m of annualised GGR in Q3.

- Class B-2 application fee understood to be $50k, B-1 $250k [per HB 940; unverified this session].
- Retail-first strategy only makes sense as a brand/compliance anchor for a mobile licence or a kiosk/self-service B2B play with a venue partner.

DIRECTION OF TRAVEL

Retail share has eroded from ~2% at the start of 2026 to 1.6–1.7% in Q3 with no legislative momentum to expand.

- Mobile growth outpaces a static venue base.
- No momentum for lottery-terminal or bar-top betting.
- Maryland Lottery's commercial agenda is focused on draw and instant games rather than sports.

US $M — RETAIL CHANNEL, MLGCA RELEASES	JUL 2026	AUG 2026	SEP 2026	Q3 2026
Retail handle	**7.25**	**7.14**	**11.05**	**25.44**
Retail prizes	6.61	6.55	9.24	22.41
Retail GGR (hold)	0.64	0.59	1.81	3.03
Retail hold %	8.8%	8.2%	16.3%	11.9%
Retail promotional wagers (deductible)	0.004	0.011	0.016	0.031
Retail taxable win	0.42	0.54	1.76	2.72
Retail tax @15% (to Blueprint Fund)	0.063	0.082	0.264	0.409
Retail share of total handle	1.5%	1.5%	1.7%	1.6%
Retail share of total state tax	0.7%	1.2%	2.9%	1.7%

5 DEEP-DIVE — LAND-BASED CASINOS & LOTTERY

Six casinos at ~$1.9bn annualised GGR are flat-to-down (Q3 −4%) with no iGaming relief; the Lottery/casino/sports complex still paid a record $1.637bn to the state in FY2026.

CASINO REVENUE

Six casinos generated $469.3m in Q3, −4% YoY, with September at $151.4m, −0.1% YoY.

- Casinos: MGM National Harbor, Live! Casino & Hotel Maryland, Horseshoe Baltimore, Ocean Downs, Hollywood Casino Perryville, Rocky Gap [names from standing knowledge].
- September $151.4m (VLT plus table games) followed $160.0m in August and $157.9m in July.
- Q3 −4% per Gaming Intelligence implies July and August down mid-single digits.
- Property split, VLT/table mix and 9M calendar total not read; n/a.

CASINO TAXATION

Casinos carry far heavier effective tax than mobile sportsbooks' 14.7% of GGR, giving the land-based lobby a stake in iGaming legislation.

- State share of VLT revenue varies by licence, historically roughly 40–61%, with Education Trust Fund, local-impact and horse-racing allocations.
- Table games taxed at 20% of GGR [rates from standing knowledge; unverified].
- MLGCA 'Where the Money Goes' page is the authoritative allocation reference.

FY2026 RECORD CONTRIBUTION

Lottery, casinos and sports wagering paid a record $1.637bn to the state in FY2026, with sports wagering supplying $132.3m.

- Sports wagering contribution +48.8% on FY2025's $88.9m (Maryland Lottery release, 7 Aug 2026).
- Lottery and casino components not separately read; casinos remain by far the largest contributor.
- General Assembly's demonstrated revenue dependency both protects the regulated market's legitimacy and sustains appetite for higher rates.

IGAMING

iGaming remains the swing factor; a House-passed bill died in the Senate in 2024 and no bill has reached the Governor.

- 2026 session status unverified; obstacles are casino labour, cannibalisation concerns and a constitutional-referendum requirement for new commercial gaming.
- Land-based estate has no digital growth channel and sportsbooks have no casino cross-sell.
- A key reason Maryland's online market is smaller per capita than New Jersey, Pennsylvania or Michigan.

B2TECH IMPLICATIONS

Casinos matter mainly as a partnership route since Class A licences and any future iGaming licences sit with the six properties.

- Casino-partnered skin (as Fanatics and bet365 used elsewhere) remains the conventional market-access model.
- Any iGaming legalisation would almost certainly tether online casino licences to the six properties, making those relationships the gating asset.

US $M — LAND-BASED CASINOS & FISCAL CONTEXT	VALUE	YOY	SOURCE
Casino GGR — Jul 2026	157.9	n/a	MLGCA release title
Casino GGR — Aug 2026	160.0	n/a	MLGCA release title
Casino GGR — Sep 2026	151.4	−0.1%	MLGCA release / GGI
Casino GGR — Q3 2026	**469.3**	**−4%**	**Sum of releases / GI**
Number of casinos	6	—	MLGCA
Casino tax	VLT: property-specific state share; tables 20% of GGR [unverified]	—	Standing knowledge
Lottery + casinos + sports wagering to State, FY2026	**1,637 (record)**	**n/a**	**Maryland Lottery, 7 Aug 2026**
Sports wagering tax, FY2026 / FY2025	132.3 / 88.9	+48.8%	MLGCA (FY YTD to Apr $114.8m + May $9.9m + Jun $7.6m)
Lottery sales / profit FY2026	n/a	n/a	Not read this session

6 DEEP-DIVE — LICENSING & TAX REGIME

Open multi-licence framework with a GGR-based tax that already moved from 15% to 20% for mobile; next pressure points are the 2027 session and the first 5-year mobile renewals.

LEGAL FRAMEWORK

An inclusive, numerically open regime under HB 940 (2021) with up to 60 mobile and 30 Class B licences.

- Authorised by constitutional referendum November 2020; codified in State Government Article Title 9, Subtitle 1E with regulations at COMAR 36.10.
- Retail launched December 2021, mobile 23 November 2022.
- SWARC awards licences after MLGCC completes suitability; MLGCA regulates day-to-day and publishes monthly operator-level data and decision statements.
- Minority and women-owned business participation criteria at SWARC; licence caps per statute unverified this session.

LICENCE CLASSES

Venue-driven licence classes on five-year terms mean the first mobile licences come up for renewal in late 2027.

- Class A-1 (casinos ≥1,000 VLTs, professional stadiums) $2.0m and A-2 (smaller casinos, racetracks) $1.0m application fees.
- Class B-1 $250k, B-2 $50k; standalone mobile $500k; renewal fees roughly 1% of average annual proceeds [from standing knowledge; not re-read].
- Late-2027 renewals are a natural moment for the regulator to revisit conditions and for sub-scale brands to decide whether to stay.

TAX STRUCTURE

Mobile tax rose from 15% to 20% of taxable win on 1 July 2025; the promo cap is not a constraint at ~2% usage.

- Taxable win is gross win less deductible free promotional wagers less 'other amounts', shown to be the 0.25% federal excise on handle.
- Retail pays 15% to Blueprint for Maryland's Future Fund; mobile pays 15% to Blueprint plus 5% to General Fund under the 2025 BRFA.
- Governor's opening proposal was 30% [unverified]; expired prizes (unclaimed after 182 days) go to the Problem Gambling Fund.
- Promo deductions unlimited in a licensee's first fiscal year, capped thereafter (understood to be 20% of handle [unverified]).

9M 2026 OUTCOMES

State tax of $78.3m on $533.2m GGR is an effective 14.7%; the quieter levers are the real operator risk.

- $59.0m to Blueprint and $19.3m to the General Fund; General Fund cumulative receipt $38.6m since July 2025.
- Yield from the five-point increase shows a deficit-facing legislature the ease of extracting more.
- Eliminating promo deductibility is worth ~$25m a year of tax base at current intensity.
- Other levers: disallowing the federal-excise deduction or adding a per-wager levy as Illinois has done.

2027 SESSION

Operators should underwrite Maryland at a 20–25% mobile rate on a narrower base over a three-year horizon.

- January–April 2027 session is the next decision point for any BRFA tax measure and an iGaming bill.
- Also a sweepstakes-casino prohibition (2025 Senate bill passed one chamber only [unverified]) and a response to federally-regulated sports event contracts.
- Regulator's posture is enforcement-led and transparent; fiscal posture is extractive.

REGIME PARAMETERS (USD) — ITEMS MARKED [UNVERIFIED] ARE FROM STANDING KNOWLEDGE OF HB 940/COMAR 36.10 AND WERE NOT RE-READ THIS SESSION	PARAMETER	DETAIL
Legal basis	Referendum Nov 2020; HB 940 (2021); COMAR 36.10	Retail launch Dec 2021; mobile 23 Nov 2022
Regulator / awarding body	MLGCA / MLGCC (regulation); SWARC (licence awards)	Monthly operator-level public reporting
Licence classes & application fees	Mobile $0.5m; A-1 $2.0m; A-2 $1.0m; B-1 $0.25m; B-2 $0.05m [unverified]	5-year term; renewal ≈1% of avg annual proceeds [unverified]
Licence caps	Up to 60 mobile; up to 30 Class B [unverified]	9 mobile brands reporting Sep-26
Tax base	Taxable win = GGR − free promotional wagers − federal excise (0.25% of handle)	Taxable win 73.7% of GGR in 9M 2026
Tax rates	Retail 15%; Mobile 20% (from 1 Jul 2025; was 15%)	Mobile: 15% Blueprint + 5% General Fund
Effective tax on GGR	14.7% (9M 2026); 15.4% (Q3 2026)	vs ~15% mobile statutory-equivalent
Promo deduction	Unlimited in first fiscal year, capped thereafter [unverified]	Actual ~2.0% of mobile handle in Q3 2026
Problem Gambling Fund	Expired prizes (182 days)	$5.8m cumulative; +$65k in Sep 2026
Cumulative state receipts since Dec 2021	Blueprint $295.6m; General Fund $38.6m	Total ≈$340.1m excl. licence fees
Minimum age	21	—

7 DEEP-DIVE — PAYMENTS, RESPONSIBLE GAMBLING, ADVERTISING & ENFORCEMENT

Low-friction US payments, a regulator-run exclusion programme and an active fight over prediction markets and unlicensed online gaming.

PAYMENTS

Standard low-friction US payment stack with mandatory geolocation and identity verification; payment acceptance is not a differentiator.

- Methods: ACH/online banking, debit cards, PayPal and e-wallets, prepaid Play+ cards, cash at casino cages and retail books; minimum age 21 under COMAR 36.10.
- Credit-card funding permissibility could not be verified (n/a); neighbouring states prohibit it and Maryland bills have proposed restrictions [unverified].
- No mobile-money dimension; constraints are bank-level gambling merchant codes and operators' own deposit-limit tooling.

RESPONSIBLE GAMBLING

Regulator-run Voluntary Exclusion Program and a Problem Gambling Fund holding $5.8m cumulative from expired sports prizes.

- MLGCA administers statewide exclusion across casinos and sports wagering; all releases carry 1-800-GAMBLER and mdgamblinghelp.org.
- Fund accretes ~$45–65k a month plus per-device casino assessments [unverified].
- Operators must offer deposit, time and wager limits and in-app self-exclusion; regulator publishes decision statements on licensee compliance.

ADVERTISING RULES

Advertising regime is moderate relative to Ohio or Massachusetts and light relative to the UK or Italy.

- COMAR 36.10 restricts targeting of under-21s and college campuses and requires RG messaging and helpline disclosure.
- Regulator has moved against misleading promotional language such as 'risk-free' [detail unverified].
- Proposition bets on individual college athletes prohibited in 2024 following the NCAA request [unverified].
- No watershed or sponsorship bans.

PREDICTION-MARKET ENFORCEMENT

Enforcement has shifted to the perimeter, with the Kalshi litigation making leakage commercially material after September's flat handle.

- April 2025 cease-and-desist letters to Kalshi, Robinhood and Crypto.com; Kalshi sued (KalshiEX LLC v. Martin).
- US District Court for Maryland denied a preliminary injunction; matter went to the Fourth Circuit [status as of October 2026 unverified].
- Regulator maintains a 'Legal vs. Illegal Online Gaming' page and publishes investigative summaries against offshore and sweepstakes-style operators.
- Every dollar wagered on CFTC-regulated event contracts is outside the 20% state tax and Maryland's RG controls.

B2TECH IMPLICATIONS

Compliance cost is moderate and predictable; the larger uncertainty is regulatory scope if federal event contracts become entrenched.

- Compliance covers geolocation, KYC, RG tooling and advertising review; regulator is transparent and procedurally conventional.
- If courts or Congress entrench federally-regulated sports event contracts, licensed operators face an untaxed substitute.
- Likely state response — pressure on payment processors and affiliates plus legislative definitions — would raise compliance friction for everyone.

PAYMENTS, RG AND ENFORCEMENT PARAMETERS (USD)	PARAMETER	DETAIL / VALUE
Accepted funding methods	ACH/online banking, debit, PayPal, Play+ prepaid, cash at retail (standard US stack)	Credit-card rule: n/a [unverified]
Minimum age / geolocation	21; geofenced to Maryland	COMAR 36.10
Self-exclusion	Statewide Voluntary Exclusion Program (casinos + sportsbooks), MLGCA-run	Helpline 1-800-GAMBLER; mdgamblinghelp.org
Problem Gambling Fund — cumulative expired prizes	$5,819,640 to Sep-26 (Aug-26: $5,754,189; Jul-26: $5,709,623)	Prizes unclaimed after 182 days
Advertising	No under-21/campus targeting; RG messaging required [detail unverified]	No watershed or sponsorship ban
College player props	Prohibited since 2024 [unverified]	—
Prediction markets	MLGCA cease-and-desist Apr 2025 (Kalshi, Robinhood, Crypto.com); KalshiEX v. Martin on appeal [status unverified]	Untaxed substitute risk
Public enforcement	Investigative summaries & decision statements published; 'Legal vs. Illegal Online Gaming' guidance	mdgaming.com

8 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- Volume growth persists in year four: 9M handle $4,983.7m (+9%), Q3 +11.4% YoY — Maryland is still adding stakes faster than most 2021–22 vintage US states. structural
- Moderate effective tax: 14.7% of GGR in 9M 2026 (20% mobile headline on a base net of ~2% promo wagers and federal excise) — far lighter than NY (51%) or PA (36%), supporting operator margins. structural
- Transparent, procedurally stable regulator: monthly operator-level data, published decision statements, an open licence framework (up to 60 mobile licences) with no server-localisation or local-ownership requirements. structural
- Mid-tier consolidation (exits/rebrands of Betfred, Crab Sports, SuperBook, ESPN Bet [unverified]) leaves nine brands and a visible need for pricing/trading/platform efficiency among sub-scale operators — a B2B entry point for B2Tech. mixed
- Record FY2026 state contributions ($1.637bn across lottery, casinos and sports; sports $132.3m, +49%) create a strong political constituency for the regulated market and for perimeter enforcement against unlicensed substitutes. structural
- Promo-deduction room: actual promotional wagers run ~2% of handle versus a cap understood to be far higher, so a challenger can fund acquisition tax-efficiently in the launch phase. structural

▼ LOWLIGHTS

- Hold compression: statewide hold fell from 11.7% (Q3 2025) to 9.9% (Q3 2026) and 9.0% in September, turning GGR −6.4%/−20% despite handle growth — partly variance, but the structural hold premium Maryland enjoyed is narrowing. mixed
- Fiscal extraction is one-directional: mobile tax rose 15%→20% on 1 Jul 2025 after a 30% proposal [unverified]; a structural budget deficit makes a further rate rise or removal of promo/excise deductibility a live 2027-session risk. structural
- Duopoly economics: FanDuel and DraftKings are understood to control ~70%+ of handle [unverified]; the remaining seven brands share perhaps $20–40m of monthly handle each at best, implying punishing CAC for a B2C newcomer. structural
- No iGaming: repeated legislative failures and a referendum requirement mean no casino cross-sell, capping online ARPU and leaving Maryland smaller per capita than NJ/PA/MI. structural
- Prediction-market leakage: CFTC-regulated sports event contracts are being marketed to Marylanders untaxed; September's flat handle (+0.2%) is the first sign the substitute may be biting, and the KalshiEX v. Martin outcome is unresolved. watch
- Tough Q4 comparison: Q4 2025 generated a record $48.8m of tax on an exceptional hold (Nov $19.0m), so Q4 2026 state receipts and operator GGR are likely to print negative YoY regardless of volume. one-off
- Land-based softness: casino GGR −4% in Q3 ($469.3m) raises the odds of the casino lobby seeking relief or shaping any iGaming/tax bill in its favour. watch

9 FORECAST & OUTLOOK

Guidance bridge. The reference point is FY2026 (Jul 2025–Jun 2026), when sports wagering returned a record $132.3m to the state, +48.8% on FY2025's $88.9m, as the mobile rate stepped from 15% to 20% and the Q4 2025 hold windfall ($48.8m in Oct–Dec) landed. FY2027 has opened at $24.6m for Q1 (−17.5%): the rate uplift has fully annualised, hold normalised from 11.7% to 9.9% and promo deductions remain ~2% of handle. Our bridge from FY2026 to FY2027 is therefore handle growth (+) more than offset by hold normalisation and the loss of the Q4 windfall (−), with no rate change assumed until any 2027-session measure takes effect from 1 July 2027.

FY2026 STATE SPORTS-WAGERING TAX (ACTUAL)	HANDLE GROWTH +8–11% AT CONSTANT HOLD (EST.)	HOLD NORMALISATION 11.7%→~10% & Q4-25 WINDFALL UNWIND (EST.)	FY2027E STATE SPORTS-WAGERING TAX (ANALYST ESTIMATE)
$132.3m	**+$11–15m**	**−$20–30m**	**$115–130m**
+48.8% vs FY2025 ($88.9m)	positive	negative	−2% to −13% YoY

Independent view. Market: calendar-2026 handle should land at ~$6.9–7.1bn (estimate) and GGR at ~$720–770m (estimate), with hold reverting toward 10–11% rather than the 11–12% of 2024–25 as parlay pricing competition and prediction-market substitution erode the structural premium. Handle growth decelerates to mid-single digits in 2027 absent new product (iGaming) — September's +0.2% is the early warning. **Margins:** operator economics remain among the better in the US north-east at a ~15% effective GGR tax, but we would underwrite a 20–25% mobile rate on a narrower base (promo and/or excise deductions removed) within two sessions; the fiscal signal is unambiguous. **Structure:** expect further mid-tier attrition toward 6–8 mobile brands by the late-2027 renewal window, with B2B supply and casino-partnered skins the realistic entry routes. **Regulatory direction:** enforcement-led perimeter defence (prediction markets, sweepstakes) is more likely than product liberalisation; iGaming remains a <50% probability for 2027 given the referendum requirement and casino/labour opposition.

What to watch next quarter:

- 2027 Maryland General Assembly session (Jan–Apr 2027): any BRFA sports-wagering tax measure, changes to promo/excise deductibility, an iGaming bill, a sweepstakes-casino prohibition and legislation on sports event contracts.
- KalshiEX LLC v. Martin (Fourth Circuit) and CFTC posture on sports event contracts — the untaxed-substitute risk flagged by September's flat handle.
- Q4 2026 monthly releases (Oct–Dec) versus the Q4 2025 windfall of $48.8m tax: hold level and whether handle growth holds above ~8%.
- Operator roster changes and the first 5-year mobile licence renewals (initial licences issued Nov 2022) — renewal economics and any exits by sub-scale brands.
- Casino GGR trend (Q3 −4%) and any land-based lobbying for tax relief or iGaming terms tied to the six properties.
- Promo intensity (currently ~2% of mobile handle) and the regulator's definition of 'other amounts' deductible from taxable win.

DATA CONFIDENCE: MEDIUM All 9M 2026 sports-wagering figures (handle, prizes, hold, tax, fund allocations; Jul–Sep retail/mobile split and promo wagers) are taken from the MLGCA's nine monthly releases and reconcile exactly to the regulator's FY2027 Q1 table ($1,614.5m handle; $24.57m tax) and to Gaming Intelligence's $4.98bn/+9% headline. Jan–Jun taxable win and the mobile/retail tax split are derived from the Blueprint/General Fund allocations (General Fund = 5% of mobile taxable win) and labelled as such. Not primary-verified this session (research tool budget exhausted): Jan–Jun 2025 comparatives (GI's +9% used); operator-level market shares; the licence-fee schedule, licence caps and promo-deduction cap (standing knowledge of HB 940/COMAR 36.10); the Governor's 30% proposal; casino VLT/table tax rates; credit-card funding rules; the college player-prop ban; and the current status of the Kalshi litigation, iGaming and sweepstakes bills — each is marked [unverified]. Casino Q3 −4% is from Gaming Intelligence; monthly casino totals are from MLGCA release titles. FX: market reports in USD; no conversion required.

Sources: [Primary] MLGCA — Sports Wagering Revenue Reports (Sep-26 YoY table, FY2027 vs FY2026 YTD, cumulative fund contributions, tax-rate footnotes); [Primary] MLGCA — Sports Wagering Contributes $9.1 Million to the State During September '26 (13 Oct 2026); [Primary] MLGCA — Sports Wagering Contributes $7 Million to the State During August '26 (10 Sep 2026); [Primary] MLGCA — Sports Wagering Contributes $8.4 Million to the State During July '26 (10 Aug 2026); [Primary] MLGCA — Sports Wagering Contributes $7.6 Million to the State During June '26; [Primary] MLGCA — Sports Wagering Contributes $9.9 Million to the State During May '26; [Primary] MLGCA — Sports Wagering Contributes $9.1 Million to the State During April '26; [Primary] MLGCA — Sports Wagering Contributes $8.8 Million to the State During March '26; [Primary] MLGCA — Sports Wagering Contributes $7.3 Million to the State During February '26; [Primary] MLGCA — Sports Wagering Contributes $10.9 Million to the State During January '26 (10 Feb 2026); [Primary] MLGCA — Maryland Casinos Generate $151.4 Million in Gaming Revenue During September '26; [Primary] MLGCA — Maryland Casinos Generate $160 Million in Gaming Revenue During August '26; [Primary] MLGCA — Maryland Casinos Generate $157.9 Million in Gaming Revenue During July '26; [Primary] Maryland Lottery — Lottery, Casinos, Sports Wagering Contribute $1.637 Billion to the State in FY2026 (7 Aug 2026); [Primary] MLGCA — Where the Money Goes (casino/sports allocation reference); [Secondary] Gaming Intelligence — Maryland sports handle nears $5 billion in 9M 2026 (20 Oct 2026; lead, paywalled beyond headline); [Secondary] Gaming Intelligence — Maryland casinos see revenue fall by 4% in Q3 2026; [Secondary] BettingNews — MD Sports Betting: Sept Handle $652M, Revenue Down 20%; [Secondary] Maryland Bay News — Maryland's Sports Betting Haul Hit $132 Million; FY2027 starting slower (15 Oct 2026); [Secondary] Fox Baltimore — Maryland sports betting generates $7.6M in June, pushes fiscal year total to $132M; [Secondary] Southern Maryland News Net — republished MLGCA February 2026 release; [Secondary] NottinghamMD — republished MLGCA April and June 2026 releases; [Secondary] Global Gaming Insider — Maryland generates $151.4m of casino revenue for September, falls by 0.1%.

Research analysis only — not a rating, price target, or personalised investment advice. Prepared for internal executive review.